

UCHUMI SUPERMARKETS LIMITED
(IN RECEIVERSHIP) AND SUBSIDIARIES

ANNUAL REPORT
AND FINANCIAL STATEMENTS

30 JUNE 2006

ERNST & YOUNG

**UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
REPORT OF THE SPECIALIST RECEIVER MANAGER AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2006**

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UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
COMPANY INFORMATION
FOR THE YEAR ENDED 30 JUNE 2006

PRINCIPAL PLACE OF BUSINESS

Uchumi Supermarkets Limited (In Receivership)
Yarrow Road,
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

REGISTERED OFFICE

Uchumi Supermarkets Limited (In Receivership)
Yarrow Road
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

BANKERS

Kenya Commercial Bank Limited
Kencom House
Moi Avenue
P. O. Box 48400
00100 NAIROBI.

Eastern and Southern African Trade and Development Bank (PTA Bank)
NSSF Building
Bishops Road
P. O. Box 48596
00100 NAIROBI

AUDITOR

Ernst & Young
Kenya Re Towers – Upper Hill
P. O. Box 44286
00100 NAIROBI

REGISTRARS

Funguo Registrars Limited
Uchumi House
Moi Avenue
P.O Box 1133
00200 NAIROBI

SPECIALIST RECEIVER MANAGER

Jonathan Ciano
Uchumi Supermarkets Limited (In Receivership)
Yarrow Road,
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

**UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
REPORT OF THE SPECIALIST RECEIVER MANAGER
FOR THE YEAR ENDED 30 JUNE 2006**

The Specialist Receiver Manager submits his report and the audited financial statements for the year ended 30 June 2006 which show the state of the group's affairs.

1. PRINCIPAL ACTIVITIES

The principal activity of the company is that of operating retail supermarkets. The activities of the subsidiary companies are those recorded in note 5 to the financial statements.

2. OPERATIONS OF THE COMPANY

On 31 May 2006, the Board and Management of Uchumi Supermarkets Limited passed a resolution to cease trading and the company operations were shut down, a closure that lasted from 1 June 2006 to 14 July 2006.

Following the decision to cease trading, the company's debenture holders were compelled to appoint Receiver Managers on 02 June 2006. Subsequently, the Government of Kenya appointed a Task Force, in collaboration with the debenture holders, to work out a 'rescue plan' for the company. On the recommendation of the Task Force, a Framework Agreement relating to a business rescue plan was drawn and was entered into between the company, debenture holders, the Government of Kenya and unsecured creditors.

On 14 July 2006, the debenture holders appointed a Specialist Receiver Manager and the company re-opened for operations on 15 July 2006.

3. GROUP RESULTS

The group's results are set out on page 8.

4. DIVIDEND

The directors do not recommend the payment of a dividend for the year.

5. RESERVES

The reserves of the group and the company are set out on page 26, note 12.

6. DIRECTORS

The directors who held office during the period to 31 May 2006, and before the appointment of the Specialist Receiver Manager, were:

Dr. Eddah W. Gachukia - Chairman
Mr. John Masterten-Smith - Managing Director
Mr. Arun Devani
Mr. Richard C. Henry
Industrial and Commercial Development Corporation
ICDC Investment Company Limited
KWA Holdings (E.A.) Limited

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
REPORT OF THE SPECIALIST RECEIVER MANAGER (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

6. DIRECTORS (Continued)

Permanent Secretary, Ministry of Trade & Industry
Mr. James Kabuga - Representing PTA Bank
Mr. Albert Ruturi

From 02 June 2006 to 14 July 2006, the management of the company was under the Receiver Managers, who were appointed by the debenture holders.

From 15 July 2006 to the date of this report, the management of the company was under the Specialist Receiver Manager.

7. FINANCIAL STATEMENTS

At the date of this report, the Specialist Receiver Manager was not aware of any circumstances which would have rendered the values attributed to assets and liabilities in the financial statements of the group, misleading.

8. AUDITORS

Ernst & Young were appointed auditors during the year by the Specialist Receiver Manager and have expressed their willingness to continue in office.



Jonathan Ciano
Specialist Receiver Manager

29th Feb2008

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
STATEMENT OF SPECIALIST RECEIVER MANAGER'S RESPONSIBILITIES
ON THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2006

The Kenyan Companies Act requires the Directors and the Receiver Manager to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group and of the company for that year. It also requires the Specialist Receiver Manager to ensure the group and the company keep proper accounting records which disclose, with reasonable accuracy, the financial position of the group and the company. He is also responsible for safeguarding the assets of the group.

The Directors and the Specialist Receiver Manager accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The Specialist Receiver Manager is of the opinion that the financial statements give a true and fair view of the state of the financial affairs and of the operating results of the group and the company. The Specialist Receiver Manager further accepts responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The financial statements have been prepared on a going concern basis which assumes continued financial support from the debenture holders, shareholders, bankers and suppliers.


.....
Specialist Receiver Manager


.....
Date

**REPORT OF THE INDEPENDENT AUDITORS
TO THE SPECIALIST RECEIVER MANAGER OF
UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES**

We have audited the accompanying consolidated financial statements of Uchumi Supermarkets Limited (In Receivership), the company and its subsidiaries (together, the group), as set out on pages 7 to 33, which comprise the consolidated balance sheet as at 30 June 2006 and the consolidated income statement, consolidated statement of changes in equity and consolidated cash flow statement for the year then ended, together with the balance sheet of the company as at 30 June 2006, the income statement and statement of changes in equity of the company for the year then ended and a summary of significant accounting policies and other explanatory notes.

SPECIALIST RECEIVER MANAGER'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

As stated on page 4, the Specialist Receiver Manager is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depended on our professional judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal control relevant to the group's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Specialist Receiver Manager, as well as evaluating the overall presentation of the financial statements.

Except as discussed in paragraph (2) and (3) below, we believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

The financial statements for the year ended 30 June 2005 were audited by another auditor whose report dated 25 October 2005 expressed an unqualified opinion on the financial statements.

1. The financial statements have been prepared on a going concern basis which assumes continued financial support from debenture holders, bankers, shareholders and suppliers.

However, since year end, the group has put in place the Uchumi Rescue Plan (URP) whose mandate is derived from a 'Framework Agreement' with the Government of Kenya and other stakeholders aimed at turning around the business. One of the group's turnaround strategies under the URP is the engagement of a strategic equity partner (SEP) to address restructuring of the operations and at the time of reporting, significant progress had been made in implementing the plan.

2. We did not observe the counting of the physical inventories as at 30 June 2006, since that date was prior to the time we were initially engaged as auditors for the group. Owing to the nature of the group's records, we were unable to satisfy ourselves as to inventory quantities by other audit procedures.
3. There was an unreconciled difference of KShs.34 million between the point of sales system and the general ledger balance, with the general ledger balance, being higher. The difference could not be explained by management.

OPINION

In our opinion, except for the matters referred to in the preceding paragraphs (1) (2) and (3) above, the accompanying financial statements give a true and fair view of the state of financial affairs of the group and of the company as at 30 June 2006 and of the results of the group and the company and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act

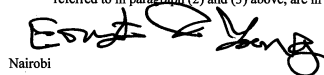
EMPHASIS OF MATTER

Without qualifying our opinion further, we draw your attention to note 4 of the financial statements which indicates that title to leasehold land valued KShs.110 million could be defective. No impairment losses have been recognised in these financial statements as the Receiver Manager believes that the company holds a good title to the land.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

- i) Except for the matters referred to in paragraph (2) and (3) above, we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) Except for the matters referred to in paragraph (2) and (3) above, in our opinion, proper books of account have been kept by the group, so far as appears from our examination of those books;
- iii) The group's and company's balance sheets and income statements, except for the matters referred to in paragraph (2) and (3) above, are in agreement with the books of account.



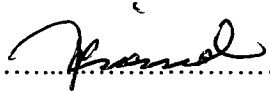
Nairobi

26 March 2008

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEET
AS AT 30 JUNE 2006

	Note	2006 KShs'000	2005 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3(a)	790,770	1,006,773
Prepaid operating lease rentals	4	151,929	160,277
Intangible assets	6	<u>61,308</u>	<u>135,254</u>
		<u>1,004,007</u>	<u>1,302,304</u>
CURRENT ASSETS			
Inventories	7	295,202	288,306
Trade and other receivables	8	123,767	203,184
Amounts due from related parties	9	-	601
Tax recoverable	23	11,147	21,538
Cash and bank balances		<u>57,001</u>	<u>38,004</u>
		<u>487,117</u>	<u>551,633</u>
TOTAL ASSETS		<u>1,491,124</u>	<u>1,853,937</u>
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	11	900,000	300,000
Reserves	12	<u>(1,631,647)</u>	<u>(1,413,806)</u>
		<u>(731,647)</u>	<u>(1,113,806)</u>
NON-CURRENT LIABILITIES			
Loans	13	<u>802,472</u>	<u>775,978</u>
CURRENT LIABILITIES			
Trade and other payables	14	1,221,361	1,553,914
Amounts due to related parties	9	6,121	2,754
Loans	13	-	219,871
Bank overdraft	15	<u>192,817</u>	<u>415,226</u>
		<u>1,420,299</u>	<u>2,191,765</u>
TOTAL SHAREHOLDERS FUNDS AND LIABILITIES		<u>1,491,124</u>	<u>1,853,937</u>

The financial statements were approved on 29th Feb 2008 and signed on its behalf by:-

) Specialist Receiver Manager

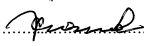
UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 30 JUNE 2006

	Note	2006 KShs'000	2005 KShs'000
SALES	16	3,551,833	5,166,480
COST OF SALES	17	<u>(2,907,847)</u>	<u>(4,437,683)</u>
GROSS PROFIT		643,986	728,797
OTHER INCOME	18	<u>141,500</u>	<u>21,388</u>
		<u>785,486</u>	<u>750,185</u>
EXPENSES:-			
Administration and establishment	19	(1,314,510)	(1,808,506)
Selling and distribution	20	<u>(54,202)</u>	<u>(19,710)</u>
		<u>(1,368,712)</u>	<u>(1,828,216)</u>
LOSS FROM OPERATING ACTIVITIES		(583,226)	(1,078,031)
FINANCE COSTS	21	<u>(167,854)</u>	<u>(149,172)</u>
LOSS BEFORE TAXATION	22	(751,080)	(1,227,203)
TAXATION	23	<u>-</u>	<u>-</u>
LOSS AFTER TAXATION		<u>(751,080)</u>	<u>(1,227,203)</u>
LOSS PER SHARE			
Basic and diluted	26	<u>(4.17)</u>	<u>(20.45)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
BALANCE SHEET OF THE COMPANY
AS AT 30 JUNE 2006

	Note	2006 KShs'000	2005 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3(b)	738,763	928,176
Prepaid operating lease rentals	4	49,495	57,843
Investment in subsidiaries	5	-	-
Intangible assets	6	<u>61,308</u>	<u>135,254</u>
		<u>849,566</u>	<u>1,121,273</u>
CURRENT ASSETS			
Inventories	7	270,361	243,350
Trade and other receivables	8	109,174	184,902
Amounts due from related parties	9	166,743	195,082
Tax recoverable	23	11,147	9,895
Cash and bank balances		<u>30,973</u>	<u>21,891</u>
		<u>588,398</u>	<u>655,120</u>
TOTAL ASSETS		<u>1,437,964</u>	<u>1,776,393</u>
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	11	900,000	300,000
Reserves	12	<u>(1,602,344)</u>	<u>(1,405,196)</u>
		<u>(702,344)</u>	<u>(1,105,196)</u>
NON CURRENT LIABILITIES			
Loans	13	<u>802,472</u>	<u>775,978</u>
CURRENT LIABILITIES			
Trade and other payables	14	1,138,898	1,490,440
Amount due to related parties	9	6,121	2,754
Loans	13	-	219,871
Bank overdraft	15	<u>192,817</u>	<u>392,546</u>
		<u>1,337,836</u>	<u>2,105,611</u>
TOTAL SHAREHOLDERS FUNDS AND LIABILITIES		<u>1,437,964</u>	<u>1,776,393</u>

The financial statements were approved on 29th Feb 2008 and signed on its behalf by:-

 Specialist Receiver Manager

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
INCOME STATEMENT OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2006

	Note	2006 KShs'000	2005 KShs'000
SALES	16	3,061,950	5,166,480
COST OF SALES	17	<u>(2,492,075)</u>	<u>(4,437,683)</u>
GROSS PROFIT		569,875	728,797
OTHER INCOME	18	<u>122,057</u>	<u>21,388</u>
		<u>691,932</u>	<u>750,185</u>
EXPENSES:-			
Administration and establishment	19	(1,203,270)	(1,808,506)
Selling and distribution	20	<u>(51,386)</u>	<u>(19,710)</u>
		<u>(1,254,656)</u>	<u>(1,828,216)</u>
LOSS FROM OPERATING ACTIVITIES		(562,724)	(1,078,031)
FINANCE COSTS	21	<u>(167,854)</u>	<u>(149,172)</u>
LOSS BEFORE TAXATION	22	(730,578)	(1,227,203)
TAXATION	23	<u>-</u>	<u>-</u>
LOSS AFTER TAXATION		<u>(730,578)</u>	<u>(1,227,203)</u>
LOSS PER SHARE			
Basic and diluted	26	<u>(4.06)</u>	<u>(20.45)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2006

	Share capital	Share premium	Revaluation reserve	Translation reserve	Accumulated losses	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
At 1 July 2004	300,000	129,452	178,652	(12,042)	(486,097)	109,965
Transfer of excess depreciation	-	-	(7,871)	-	7,871	-
Deferred income tax on transfer	-	-	2,361	-	(2,361)	-
Released on disposals	-	-	(8,199)	-	8,199	-
Deferred income tax on disposals	-	-	2,460	-	(2,460)	-
Translation differences	-	-	-	3,432	-	3,432
Loss for the year	-	-	-	-	(1,227,203)	(1,227,203)
At 30 June 2005	<u>300,000</u>	<u>129,452</u>	<u>167,403</u>	<u>(8,610)</u>	<u>(1,702,051)</u>	<u>(1,113,806)</u>
At 1 July 2005	300,000	129,452	167,403	(8,610)	(1,702,051)	(1,113,806)
Translation differences	-	-	-	(191)	-	(191)
Transfer of excess depreciation	-	-	(20,056)	-	20,056	-
Deferred income tax on transfer	-	-	6,017	-	(6,017)	-
Released on disposals	-	-	(16,343)	-	16,343	-
Deferred income tax on disposals	-	-	4,903	-	(4,903)	-
Right issue	600,000	533,430	-	-	-	1,133,430
Loss for the year	-	-	-	-	(751,080)	(751,080)
At 30 June 2006	<u>900,000</u>	<u>662,882</u>	<u>141,924</u>	<u>(8,801)</u>	<u>(2,427,652)</u>	<u>(731,647)</u>

UCHUMI SUPERMARKETS (IN RECEIVERSHIP)
STATEMENT OF CHANGES IN EQUITY OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2006

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Accumulated losses KShs'000	Total KShs'000
At 1 July 2004	300,000	129,452	178,652	(486,097)	122,007
Transfer of excess depreciation	-	-	(7,871)	7,871	-
Deferred income tax on transfer	-	-	2,361	(2,361)	-
Released on disposals	-	-	(8,199)	8,199	-
Deferred income tax on disposals	-	-	2,460	(2,460)	-
Loss for the year	-	-	-	(1,227,203)	(1,227,203)
At 30 June 2005	<u>300,000</u>	<u>129,452</u>	<u>167,403</u>	<u>(1,702,051)</u>	<u>(1,105,196)</u>
At 1 July 2005	300,000	129,452	167,403	(1,702,051)	(1,105,196)
Transfer of excess depreciation	-	-	(20,056)	20,056	-
Deferred income tax on transfer	-	-	6,017	(6,017)	-
Released on disposals	-	-	(16,343)	16,343	-
Deferred income tax on disposals	-	-	4,903	(4,903)	-
Rights issue	600,000	533,430	-	-	1,133,430
Loss for the year	-	-	-	(730,578)	(730,578)
At 30 June 2006	<u>900,000</u>	<u>662,882</u>	<u>141,924</u>	<u>(2,407,150)</u>	<u>(702,344)</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED CASH FLOW STATEMENT
FOR THE YEAR ENDED 30 JUNE 2006

	Note	2006 KShs'000	2005 KShs'000
NET CASH FLOWS FROM OPERATING ACTIVITIES	25	(663,569)	(388,572)
Interest paid		(167,854)	(144,018)
Income tax (paid)/ refunded		<u>10,391</u>	<u>9,344</u>
Net cash used in operating activities		<u>(821,032)</u>	<u>(523,246)</u>
INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(11,860)	(15,536)
Proceeds from sale of plant and equipment		<u>126,499</u>	<u>216,294</u>
Net cash generated from investing activities		<u>114,639</u>	<u>200,758</u>
FINANCING ACTIVITIES			
Proceeds from long term borrowing		1,159,924	604,144
Repayments on long term borrowing		<u>(219,871)</u>	<u>(122,623)</u>
Net cash generated from investing activities		<u>940,053</u>	<u>481,521</u>
NET INCREASE IN CASH AND CASH EQUIVALENTS		233,660	159,033
Effects of exchange rate movements on cash and cash equivalents		7,746	5,634
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		<u>(377,222)</u>	<u>(541,889)</u>
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	10	<u>(135,816)</u>	<u>(377,222)</u>

1. GENERAL INFORMATION

Uchumi Supermarkets Limited (in Receivership) is incorporated in Kenya under the Kenyan Companies Act. The company operates retail supermarkets in Kenya and Uganda.

The company's shares are currently suspended from the Nairobi Stock Exchange listing after it was placed under receivership on 2 June 2006.

2. ACCOUNTING POLICIES

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied, unless otherwise stated.

a) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRSs). The financial statements are presented in the functional currency, Kenya Shillings, rounded-off to the nearest thousand and are prepared under the historical cost convention as modified by the revaluation of certain assets.

b) Revenue recognition

Sales of goods are recognised in the period in which the group delivers the product to the customer, the customer has accepted the products and the collectability of the related receivables is reasonably assured.

Sales of services are recognised in the period in which the services are rendered, by reference to the completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.

Revenue represents the fair value of the consideration receivable for sales of goods and services and is stated net of Value-Added Tax (VAT), rebates and discounts.

Interest income is recognised on a time proportion basis using the effective interest method.

c) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average cost method. Net realisable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

d) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Buildings and freehold land are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation for buildings. All other property, plant and equipment are stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus. All other decreases are charged to the income statement. Each year, the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the income statement) and depreciation based on the asset's original cost is transferred from the revaluation surplus to retained earnings.

2. ACCOUNTING POLICIES (Continued)

d) Property, plant and equipment (Continued)

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings on freehold land	Over a period of 45 years
Buildings on leasehold land	Shorter of estimated useful life or the lease term
Improvements to premises	10%
Plant and machinery	20%
Equipment and motor vehicles	15%, 20% and 25% (as applicable)

Freehold land is not depreciated as it is deemed to have an indefinite life.

The carrying values of the above mentioned tangible assets are reviewed for impairment either annually, or when events or changes in circumstances indicate the carrying value may not be recoverable.

If any such indication exists and where the carrying values exceed the estimated recoverable amount, the assets or cash-generating units are written down to their recoverable amount. The recoverable amount of equipment and motor vehicles is the greater of net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognised in the income statement.

Items of tangible assets are derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset.

Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the item) is included in the income statement in the year the item is derecognised.

e) Foreign currency transactions

Transactions during the year are converted into Kenya Shillings at rates ruling at the transactions dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the income statement for the year in which they arise.

As at the reporting date, the assets and liabilities of foreign subsidiary are translated into the company's presentation currency (Kenya Shillings) at the rate of exchange ruling at the balance sheet date and their income statements are translated at the weighted average exchange rates for the year. Exchange differences arising on translation are taken directly to a separate component of equity. On disposal of a foreign entity, the deferred cumulative amount recognised in equity relating to that particular foreign operation is recognised in the income statement.

2. ACCOUNTING POLICIES (Continued)

f) Cash and cash equivalents

Cash and cash equivalents in the balance sheet comprise cash at bank and in hand and short-term deposits with an original maturity of three months or less.

Cash and cash equivalents that have a fixed maturity date (less than 3 months) are subsequently measured at cost, as these are highly liquid and readily convertible.

Cash and cash equivalents that do not have fixed maturity dates are subsequently measured at amortised cost using the effective interest rate method.

For the purposes of the cash flow statement, cash and cash equivalents consist of cash and cash equivalents as defined above, net of outstanding bank overdrafts.

Bank overdrafts are disclosed separately under current liabilities.

g) Trade and other payables

Trade and other payables are carried at amortised cost using the effective interest rate method. Trade payables being short term in nature are carried at cost as the effect of imputing interest is considered to be insignificant.

h) Interest-bearing loans and borrowings

All loans and borrowings are initially recognised at cost, being the fair value of the consideration received net of issue costs associated with the borrowing.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest method. Amortised cost is calculated by taking into account any issue costs and any discount or premium on settlement.

i) Trade receivables

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts. An estimate is made of doubtful receivables based on review of all outstanding amounts at year end. Bad debts are written off after all efforts of recovery have been exhausted.

j) Consolidation of financial statements

Subsidiaries are all entities over which the company has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are de-consolidated from the date control ceases.

The consolidated financial statements of the group comprise the financial statements of the company and its subsidiaries at the end of the reporting period.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

The accounting policies for the subsidiaries are consistent with the policies adopted by the company.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

2. ACCOUNTING POLICIES (Continued)

k) Taxation

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred taxation is provided using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unused tax losses and the unused tax credits can be utilised.

l) Retirement benefit costs

The company contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to KShs.200 per employee per month.

The company's contributions to the above scheme are charged to the income statement in the year to which they relate.

m) Employee entitlements

The monetary benefits for employees' accrued annual leave entitlement at the balance sheet date are recognised as an expense accrual.

n) Impairment of assets

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If such indication exists, the company makes an estimate of the asset's recoverable amount. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognised in the income statement.

o) Dividends

Dividends are charged to reserves in the year to which they relate. Proposed dividends are disclosed as a separate component of equity until approved.

p) Borrowing costs

Borrowing costs are recognised as an expense when incurred and measured using the effective interest rate method.

q) Provisions

Provisions are recognised when the group has a present legal or constructive obligation as a result of past events and it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

2. ACCOUNTING POLICIES (Continued)

r) Leases

Finance leases, which transfer to the group substantially all the risks and benefits incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset or the lease term.

Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same bases as the lease income.

Operating lease payments are recognised as an expense in the income statement on a straight-line basis over the lease term.

s) Intangible assets and amortization

Acquired computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized using the straight-line method over a period of four years.

Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the group and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software development employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over a period of four years.

t) Cost of sales

Cost of sales includes the historical costs of inventory expensed during the year including inventory losses.

u) Investments in subsidiaries

Investments in subsidiaries are carried in the company's balance sheet at cost less provisions for impairment losses. Where, in the opinion of the management, there has been impairment in the value of an investment, the loss is recognized as an expense in the period in which the impairment is identified.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

2. ACCOUNTING POLICIES (Continued)

v) Use of estimates in the preparation of the financial statements and assumptions made

In preparing the financial statements, management is required to make estimates and assumptions that affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and the application of judgement is inherent in the formation of estimates. Actual results in the future could differ from these estimates which may be material to the financial statements.

Significant judgements made by management in the preparation of the financial statements relate to the following:

Property, plant and equipment

Property and equipment is depreciated over its useful life taking into account residual values, where appropriate. The actual lives of the assets and residual values are assessed annually and may vary depending on a number of factors. In reassessing asset lives, factors such as technological innovation, product life cycles and maintenance programmes are taken into account. Residual value assessments consider issues such as future market conditions, the remaining life of the asset and projected disposal values.

Impairment of assets

Property, plant and equipment and intangible assets are considered for impairment if there is a reason to believe that impairment may be necessary. Factors taken into consideration in reaching such a decision include the economic viability of the asset itself and where it is a component of a larger economic unit, the viability of that unit itself.

Future cash flows expected to be generated by the assets are projected, taking into account market conditions and the expected useful lives of the assets. The present value of these cash flows, determined using an appropriate discount rate, is compared to the current net asset value and, if lower, the assets are impaired to the present value.

Provision for doubtful debts

The estimated provision for doubtful debts is based on the period for which the debt was outstanding combined with some knowledge of the financial position of the debtor and/or the circumstances surrounding the underlying transaction.

Deferred taxation assets

Deferred tax assets are recognised to the extent it is probable that taxable income will be available in future against which they can be utilised. Future taxable profits are estimated based on business plans which include estimates and assumptions regarding economic growth, interest, inflation and taxation rates and competitive forces.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

3(a) PROPERTY, PLANT AND EQUIPMENT (GROUP)

	Buildings and freehold land KShs'000	Improvements to premises KShs'000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2005	534,000	253,489	346,391	601,871	1,735,751
Additions	6,882	4,501	-	477	11,860
Exchange differences	-	(4,110)	(4,964)	(3,163)	(12,237)
Disposals	<u>(54,000)</u>	<u>-</u>	<u>(15,373)</u>	<u>(23,349)</u>	<u>(92,722)</u>
At 30 June 2006	<u>486,882</u>	<u>253,880</u>	<u>326,054</u>	<u>575,836</u>	<u>1,642,652</u>
DEPRECIATION					
At 1 July 2005	15,350	62,666	237,784	413,178	728,978
Disposals	(2,656)	-	(5,631)	(11,645)	(19,932)
Exchange differences	-	(1,057)	(2,581)	(1,166)	(4,804)
Charge for the year	<u>13,650</u>	<u>27,804</u>	<u>43,799</u>	<u>62,387</u>	<u>147,640</u>
At 30 June 2006	<u>26,344</u>	<u>89,413</u>	<u>273,371</u>	<u>462,754</u>	<u>851,882</u>
NET BOOK VALUE					
At 30 June 2006	<u>460,538</u>	<u>164,467</u>	<u>52,683</u>	<u>113,082</u>	<u>790,770</u>

In the opinion of the management, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

3(a) PROPERTY, PLANT AND EQUIPMENT (GROUP) – Continued

	Buildings and freehold land KShs'000	Improvements to premises KShs'000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2004	646,000	382,827	432,774	724,626	2,186,227
Additions	-	6,268	2,145	7,123	15,536
Disposals	(112,000)	(102,110)	(86,855)	(128,802)	(429,767)
Reclassifications to prepaid operating lease rentals	-	(32,110)	-	-	(32,110)
Exchange differences	-	(1,386)	(1,673)	(1,076)	(4,135)
At 30 June 2005	<u>534,000</u>	<u>253,489</u>	<u>346,391</u>	<u>601,871</u>	<u>1,735,751</u>
DEPRECIATION					
At 1 July 2004	-	73,849	248,898	381,987	704,734
On disposals	(2,100)	(41,716)	(70,455)	(77,055)	(191,326)
Charge for the year	17,450	34,942	60,371	108,719	221,482
Reclassification to prepaid operating lease rentals	-	(3,983)	-	-	(3,983)
Exchange differences	-	(426)	(1,030)	(473)	(1,929)
At 30 June 2005	<u>15,350</u>	<u>62,666</u>	<u>237,784</u>	<u>413,178</u>	<u>728,978</u>
NET BOOK VALUE					
At 30 June 2005	<u>518,650</u>	<u>190,823</u>	<u>108,607</u>	<u>188,693</u>	<u>1,006,773</u>

In the opinion of the directors, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

3(b) PROPERTY, PLANT AND EQUIPMENT (COMPANY)

	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2005	534,000	210,192	294,101	568,550	1,606,843
Additions	6,882	4,501	-	477	11,860
Disposals	<u>(54,000)</u>	<u>-</u>	<u>(15,373)</u>	<u>(21,131)</u>	<u>(90,504)</u>
At 30 June 2006	<u>486,882</u>	<u>214,693</u>	<u>278,728</u>	<u>547,896</u>	<u>1,528,199</u>
DEPRECIATION					
At 1 July 2005	15,350	51,529	210,899	400,889	678,667
On disposals	(2,656)	-	(5,631)	(11,645)	(19,932)
Charge for the year	<u>13,650</u>	<u>23,811</u>	<u>34,121</u>	<u>59,119</u>	<u>130,701</u>
At 30 June 2006	<u>26,344</u>	<u>75,340</u>	<u>239,389</u>	<u>448,363</u>	<u>789,436</u>
NET BOOK VALUE					
At 30 June 2006	<u>460,538</u>	<u>139,353</u>	<u>39,339</u>	<u>99,533</u>	<u>738,763</u>

In the opinion of the management, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

3(b) PROPERTY, PLANT AND EQUIPMENT (COMPANY) – Continued

	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2004	646,000	338,144	378,811	690,888	2,053,843
Additions	-	6,268	2,145	6,464	14,877
Disposals	(112,000)	(102,110)	(86,855)	(128,802)	(429,767)
Reclassifications to prepaid operating lease rentals	-	(32,110)	-	-	(32,110)
At 30 June 2005	<u>534,000</u>	<u>210,192</u>	<u>294,101</u>	<u>568,550</u>	<u>1,606,843</u>
DEPRECIATION					
At 1 July 2004	-	66,824	231,946	374,401	673,171
On disposals	(2,100)	(41,715)	(70,455)	(77,055)	(191,325)
Charge for the year	17,450	30,403	49,408	103,543	200,804
Reclassification to prepaid operating lease rentals	-	(3,983)	-	-	(3,983)
At 30 June 2005	<u>15,350</u>	<u>51,529</u>	<u>210,899</u>	<u>400,889</u>	<u>678,667</u>
NET BOOK VALUE					
At 30 June 2005	<u>518,650</u>	<u>158,663</u>	<u>83,202</u>	<u>167,661</u>	<u>928,176</u>

In the opinion of the directors, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

4. PREPAID OPERATING LEASE RENTALS	Group		Company	
	2006 KShs'000	2005 KShs'000	2006 KShs'000	2005 KShs'000
Balance brought forward	160,277	161,456	57,843	57,821
Net book amount reclassified from property plant and equipment	-	28,127	-	28,127
Amortisation charge for the year	(966)	(2,843)	(966)	(1,642)
Disposals	<u>(7,382)</u>	<u>(26,463)</u>	<u>(7,382)</u>	<u>(26,463)</u>
At 30 June	<u>151,929</u>	<u>160,277</u>	<u>49,495</u>	<u>57,843</u>

Included in prepaid operating lease rentals for the group is a piece of land with a lease period of 99 years effective 1999 owned by Kasarani Mall Limited, a wholly owned subsidiary of the company. The land was purchased in 2001 for KShs.110 million. Title to this piece of land may be defective as it is alleged by the Commissioner of Lands that the vendor had been allocated the title irregularly. In addition, the company had attempted to sell this piece of land but was unsuccessful as the Commissioner of Lands placed a caveat in the Ministry of Lands barring any developments or transactions involving the land. The would be buyer has sued the company for specific performance and the matter is still pending in court.

No provisions for impairment have been recognised in the financial statements as the Receiver Manager believes, based on the available information, that the company has good title to the land and that the caveat emptor will be lifted.

5. INVESTMENTS IN SUBSIDIARIES	Country of incorporation	Shareholding	2006 KShs'000	2005 KShs'000
Uchumi Supermarkets (Uganda) Limited	Uganda	100%	60,000	60,000
Kasarani Mall Limited	Kenya	100%	<u>200</u>	<u>200</u>
			60,200	60,200
Less: Provision for impairment			<u>(60,200)</u>	<u>(60,200)</u>
			<u>-</u>	<u>-</u>

The principal activity of Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited is operation of retail supermarkets and property management, respectively. The results of Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited have been consolidated in the financial statements. There are other wholly owned subsidiaries, Uchumi Supermarkets (Tanzania) Limited and Uchumi Holdings Limited, incorporated in Tanzania and Kenya, respectively, which have each issued two shares at nominal amounts. These subsidiaries did not have any transactions during the year.

6. INTANGIBLE ASSETS	Group		Company	
	2006 KShs'000	2005 KShs'000	2006 KShs'000	2005 KShs'000
Balance brought forward	135,254	209,200	135,254	209,200
Amortisation charge	<u>(73,946)</u>	<u>(73,946)</u>	<u>(73,946)</u>	<u>(73,946)</u>
At 30 June	<u>61,308</u>	<u>135,254</u>	<u>61,308</u>	<u>135,254</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
 NOTES TO THE FINANCIAL STATEMENTS (Continued)
 FOR THE YEAR ENDED 30 JUNE 2006

7. INVENTORIES

	Group		Company	
	2006	2005	2006	2005
	KShs'000	KShs'000	KShs'000	KShs'000
Food	99,041	112,935	97,455	99,989
Non-food	173,417	154,448	84,715	124,239
Other	<u>22,744</u>	<u>20,923</u>	<u>88,191</u>	<u>19,122</u>
	<u>295,202</u>	<u>288,306</u>	<u>270,361</u>	<u>243,350</u>

8. TRADE AND OTHER RECEIVABLES

Trade debtors	145,550	34,346	141,133	28,955
Provision for bad and doubtful debts	<u>(78,496)</u>	<u>(16,235)</u>	<u>(76,854)</u>	<u>(16,235)</u>
	67,054	18,111	64,279	12,720
Prepayments and other receivables	<u>56,713</u>	<u>185,073</u>	<u>44,895</u>	<u>172,182</u>
	<u>123,767</u>	<u>203,184</u>	<u>109,174</u>	<u>184,902</u>

9. RELATED PARTY TRANSACTIONS

The group is related to various other entities through common shareholding and /or directorships. The following balances relating to transactions entered into with related parties arising from sale and purchase of goods/ services were outstanding at year end:

	Group		Company	
	2006	2005	2006	2005
	KShs'000	KShs'000	KShs'000	KShs'000
Amounts due from related parties:				
Uchumi Supermarkets (Uganda) Limited	-	-	56,232	90,846
Kasarani Mall Limited	-	-	110,511	103,635
Industrial and Commercial Development Corporation	-	3	-	3
KWA Holdings E.A Limited	<u>-</u>	<u>598</u>	<u>-</u>	<u>598</u>
	<u>-</u>	<u>601</u>	<u>166,743</u>	<u>195,082</u>
Amounts due to related parties:				
Industrial and Commercial Development Corporation	1,869	2,754	1,869	2,754
KWA Holdings E.A Limited	<u>4,252</u>	<u>-</u>	<u>4,252</u>	<u>-</u>
	<u>6,121</u>	<u>2,754</u>	<u>6,121</u>	<u>2,754</u>

The following transactions were carried out with related parties:

Directors' remuneration	<u>17,910</u>	<u>14,319</u>	<u>17,910</u>	<u>14,319</u>
Senior management compensation				
Salaries and other employment benefits	<u>73,872</u>	<u>102,399</u>	<u>70,173</u>	<u>102,399</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

10. CASH AND CASH EQUIVALENTS

For the purposes of the cash flow statement, cash and cash equivalents comprise of the following at 30 June:

	2006 KShs'000	2005 KShs'000
Bank and cash balances	57,001	38,004
Bank overdraft	(192,817)	(415,226)
	<u>(135,816)</u>	<u>(377,222)</u>

11. SHARE CAPITAL

Authorised:

300,000,000 ordinary shares of KShs.5 each	1,500,000	1,500,000
25,000,000 preference shares of KShs.20 each	<u>500,000</u>	<u>500,000</u>

2,000,000 2,000,000

Issued and fully paid:

180,000,000 (2005: 60,000,000) ordinary shares of Shs.5 each	<u>900,000</u>	<u>300,000</u>
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	Group 2006 KShs'000	2005 KShs'000	Company 2006 KShs'000	2005 KShs'000
12. RESERVES				
Accumulated losses	(2,427,652)	(1,702,051)	(2,407,150)	(1,702,051)
Share premium	662,882	129,452	662,882	129,452
Revaluation reserve	141,924	167,403	141,924	167,403
Translation reserve	<u>(8,801)</u>	<u>(8,610)</u>	<u>-</u>	<u>-</u>
	<u>(1,631,647)</u>	<u>(1,413,806)</u>	<u>(1,602,344)</u>	<u>(1,405,196)</u>

The revaluation reserve represents the surplus on the revaluation of buildings and freehold land net of deferred income tax. The reserve is non-distributable.

The translation reserve arises from translation of the net investment in Uchumi Supermarkets (Uganda) Limited.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

13. LOANS

	Group		Company	
	2006	2005	2006	2005
	KShs'000	KShs'000	KShs'000	KShs'000
Borrowings are made up as follows:				
a) Non-current				
Term loan	<u>802,472</u>	<u>775,978</u>	<u>802,472</u>	<u>775,978</u>
b) Current				
Bank overdraft	192,817	415,226	192,817	392,546
Term loan	<u>-</u>	<u>219,871</u>	<u>-</u>	<u>219,871</u>
	<u>192,817</u>	<u>635,097</u>	<u>192,817</u>	<u>612,417</u>
	<u>995,289</u>	<u>1,411,075</u>	<u>995,289</u>	<u>1,388,395</u>
Maturity profile of non-current borrowings				
Between 1 and 2 years	26,494	219,405	26,494	219,405
Between 2 and 5 years	219,405	477,406	219,405	477,406
Over 5 years	<u>556,573</u>	<u>79,167</u>	<u>556,573</u>	<u>79,167</u>
	<u>802,472</u>	<u>775,978</u>	<u>802,472</u>	<u>775,978</u>
Term loan				
Non-current				
Eastern and Southern African Trade and Development Bank	435,417	415,625	435,417	415,625
ICDC Investment Company Limited	40,000	-	40,000	-
Kenya Commercial Bank Limited	<u>327,055</u>	<u>360,353</u>	<u>327,055</u>	<u>360,353</u>
	<u>802,472</u>	<u>775,978</u>	<u>802,472</u>	<u>775,978</u>
Current				
Eastern and Southern African Trade and Development Bank	-	59,375	-	59,375
Kenya Commercial Bank Limited	-	56,352	-	56,352
Industrial and Commercial Development Corporation	-	24,144	-	24,144
ICDC Investment Company Limited	<u>-</u>	<u>80,000</u>	<u>-</u>	<u>80,000</u>
	<u>-</u>	<u>219,871</u>	<u>-</u>	<u>219,871</u>

The term loan from Kenya Commercial Bank Limited is payable over a period of five years ending 26 November 2008.

The term loan from Eastern and Southern Africa Trade and Development Bank is repayable over a period of six years from 31 August 2005.

The above borrowings (current and non-current) are secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over stocks and debtors.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
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FOR THE YEAR ENDED 30 JUNE 2006

13. LOANS (Continued)

The unsecured loans from Industrial and Commercial Development Corporation and Industrial and Commercial Development Corporation Investments Limited were advanced in July 2004. These two companies are shareholders in the company. The loans were converted to shares through a rights issue.

The weighted average effective interest rate at year-end was:

	2006	2005
Term loan	11.7%	13.5%
Money market facility	-	8.5%
Bank overdrafts	12%	12.8%

In the opinion of The Specialist Receiver Manager, the carrying amounts of borrowings approximate to their fair values. Fair values are based on discounted cash flows using a discount rate based on the borrowing rate that management expect would be available to the group at the balance sheet date.

14. TRADE AND OTHER PAYABLES

	Group		Company	
	2006	2005	2006	2005
	KShs'000	KShs'000	KShs'000	KShs'000
Trade payables	975,604	1,255,074	903,437	1,246,810
Accrued expenses	127,391	143,680	117,095	142,588
Other payables	<u>118,366</u>	<u>155,160</u>	<u>118,366</u>	<u>101,042</u>
	<u>1,221,361</u>	<u>1,553,914</u>	<u>1,138,898</u>	<u>1,490,440</u>

15. BANK OVERDRAFT

The bank overdraft is secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over stocks and debtors.

	Group		Company	
	2006	2005	2006	2005
	KShs'000	KShs'000	KShs'000	KShs'000
16. SALES				
Food	2,341,343	3,782,057	2,018,416	3,590,983
Personal care	673,812	829,188	580,877	986,932
General merchandise	488,996	501,115	421,552	492,439
Textiles	<u>47,682</u>	<u>54,120</u>	<u>41,105</u>	<u>96,126</u>
	<u>3,551,833</u>	<u>5,166,480</u>	<u>3,061,950</u>	<u>5,166,480</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

17. COST OF SALES	Group		Company	
	2006	2005	2006	2005
	KShs'000	KShs'000	KShs'000	KShs'000
Food	1,885,815	3,048,916	1,616,176	3,048,916
Personal care	542,161	733,957	464,641	733,957
General merchandise	435,127	466,557	372,911	466,557
Textiles	<u>44,744</u>	<u>188,253</u>	<u>38,347</u>	<u>188,253</u>
	<u>2,907,847</u>	<u>4,437,683</u>	<u>2,492,075</u>	<u>4,437,683</u>
18. OTHER INCOME				
Promotions income	46,758	61,988	31,844	61,988
Profit/(loss) on disposal of property, plant and equipment	46,276	(22,147)	46,276	(22,147)
Loss on disposal of prepaid operating leases	(7,381)	(26,463)	(7,381)	(26,463)
Miscellaneous income	<u>55,847</u>	<u>8,010</u>	<u>51,318</u>	<u>8,010</u>
	<u>141,500</u>	<u>21,388</u>	<u>122,057</u>	<u>21,388</u>
19. ADMINISTRATION AND ESTABLISHMENT EXPENSES				
Staff expenses	396,746	707,830	375,793	707,830
Establishment costs	430,935	411,454	387,716	411,454
Computer expenses	116,234	108,517	115,104	108,517
General expenses	89,447	207,462	72,300	207,462
Motor running expenses	19,269	13,499	11,416	13,499
Consultancy fees	21,417	47,154	17,418	47,154
Directors emoluments	17,910	14,319	17,910	14,319
Amortisation of intangible assets	73,946	73,946	73,946	73,946
Amortisation of operating lease rentals	966	2,843	966	2,843
Depreciation of property and equipment	<u>147,640</u>	<u>221,482</u>	<u>130,701</u>	<u>221,482</u>
	<u>1,314,510</u>	<u>1,808,506</u>	<u>1,203,270</u>	<u>1,808,506</u>
20. SELLING AND DISTRIBUTION				
Marketing expenses	<u>54,202</u>	<u>19,710</u>	<u>51,386</u>	<u>19,710</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2006

21. FINANCE COSTS	Group		Company	
	2006 KShs'000	2005 KShs'000	2006 KShs'000	2005 KShs,000
Bank charges and commission	7,452	4,194	7,452	4,194
Interest – bank overdraft	26,500	37,505	26,500	37,505
Interest – unsecured loans	4,852	7,745	4,852	7,745
Interest – secured loans	113,752	66,576	113,752	66,576
Interest –other	8,567	6,278	8,567	6,278
Credit card commission	6,731	9,874	6,731	9,874
Other expenses	-	17,000	-	17,000
	<u>167,854</u>	<u>149,172</u>	<u>167,854</u>	<u>149,172</u>

22. LOSS BEFORE TAXATION

The loss before taxation is stated after charging:-

Depreciation of property and equipment	147,640	221,482	130,701	221,482
Amortisation of intangible assets	73,946	73,946	73,946	73,946
Amortisation of operating lease rentals	966	2,843	966	1,642
Directors' emoluments:				
Fees for services as directors	360	360	360	360
Other emoluments	17,550	13,959	17,550	13,959
Auditors' remuneration	4,000	4,950	4,000	4,950
Receivership costs	25,000	-	25,000	-
Staff costs:				
Salaries and wages	381,864	569,615	360,911	569,615
Reorganisation costs	-	89,219	-	89,219
Pension costs - defined benefits scheme	12,836	18,943	12,836	18,943
- NSSF	2,046	3,149	2,046	3,149
Other staff costs	<u>-</u>	<u>26,904</u>	<u>-</u>	<u>26,904</u>

23. TAXATION

BALANCE SHEET

Balance brought forward	21,538	21,538	21,538	9,895
Paid during the year	<u>(10,391)</u>	<u>-</u>	<u>(10,391)</u>	<u>-</u>
	<u>11,147</u>	<u>21,538</u>	<u>11,147</u>	<u>9,895</u>

PROFIT AND LOSS ACCOUNT

There is no corporation tax charge due to accumulated tax losses brought forward and losses made during the year.

DEFERRED TAX

A net deferred tax asset of KShs.159,714,902 (2005: KShs.257,994,000) has not been recognised in respect of the accumulated tax losses and other temporary differences, as the company will not have substantial taxable profits in the foreseeable future, against which the tax losses and other temporary differences can be utilized.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
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FOR THE YEAR ENDED 30 JUNE 2006

24. SEGMENT INFORMATION

	Kenya Kshs '000	Uganda Kshs '000	Group KShs '000
Year ended 30 June 2006			
Sales	<u>3,061,950</u>	<u>489,883</u>	<u>3,551,833</u>
Operating (loss)/ profit	<u>(730,578)</u>	<u>(20,502)</u>	<u>(751,080)</u>
Current assets	588,398	65,460	487,117
Non-current assets	<u>849,566</u>	<u>52,008</u>	<u>1,004,007</u>
Total segment assets	<u>1,437,964</u>	<u>117,468</u>	<u>1,491,124</u>
Current liabilities	1,337,836	138,693	1,420,299
Non current liabilities	<u>802,472</u>	<u>-</u>	<u>802,472</u>
Total segment liabilities	<u>2,140,308</u>	<u>138,693</u>	<u>2,222,771</u>
Year ended 30 June 2005			
Sales	<u>4,594,947</u>	<u>571,533</u>	<u>5,166,480</u>
Operating loss	<u>(1,044,405)</u>	<u>(33,626)</u>	<u>(1,078,031)</u>
Current assets	471,229	80,404	551,633
Non-current assets	<u>1,223,707</u>	<u>78,597</u>	<u>1,302,304</u>
Total segment assets	<u>1,694,936</u>	<u>159,001</u>	<u>1,853,937</u>
Current liabilities	2,105,611	86,154	2,191,765
Non current liabilities	<u>775,978</u>	<u>-</u>	<u>775,978</u>
Total segment liabilities	<u>2,881,589</u>	<u>86,154</u>	<u>2,967,743</u>

Sales revenue is based on the country in which the sales took place. Total assets are shown by the geographical area in which the assets are located. Both geographical segments are involved in the operation of retail supermarkets.

Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash and exclude investments and amounts due from subsidiaries. Segment liabilities consist of operating liabilities and exclude items such as dividends payable and amounts due to the parent company.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
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FOR THE YEAR ENDED 30 JUNE 2006

	2006 KShs'000	2005 KShs,000
25. CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before income tax	(751,080)	(1,227,203)
Adjustments for:		
Depreciation on property, plant and equipment	147,640	221,482
Amortisation of prepaid operating lease rentals	966	2,843
Amortisation of intangible assets	73,946	73,946
Loss / (gain) on sale of property, plant and equipment	(46,276)	22,147
Loss on sale of leasehold property	7,381	26,463
Interest expense	167,854	144,018
Receivables and prepayments	79,417	165,147
Due from related parties	(3,968)	-
Inventories	(6,896)	652,531
Payables and accrued expenses	(332,553)	(469,946)
Cash generated from operations before tax	<u>(663,569)</u>	<u>(388,572)</u>

26. LOSS PER SHARE

Loss per share is calculated on the loss after taxation and on the number of ordinary shares in issue during the year, as follows:-

	Group		Company	
	2006 KShs'000	2005 KShs'000	2006 KShs'000	2005 KShs'000
Loss for the year	<u>751,080</u>	<u>1,227,203</u>	<u>730,578</u>	<u>1,227,203</u>
Number of ordinary shares	<u>180,000</u>	<u>60,000</u>	<u>180,000</u>	<u>60,000</u>
Loss per share	<u>4.17</u>	<u>20.45</u>	<u>4.06</u>	<u>20.45</u>

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
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FOR THE YEAR ENDED 30 JUNE 2006

27. COMMITMENTS

Capital commitments

There were no contracted capital commitments as at 30 June 2006 and as 30 June 2005.

Operating lease commitments

The future minimum lease payments under non-cancellable operating leases are as follows.

	Group		Company	
	2006	2005	2006	2005
	KShs'000	KShs,000	KShs'000	KShs,000
Operating lease commitments				
Not later than one year	244,747	275,545	196,614	234,969
Later than one year and not later than five years	736,966	680,601	523,853	628,343
Later than five years	<u>582,147</u>	<u>710,249</u>	<u>582,146</u>	<u>710,249</u>
	<u>1,563,860</u>	<u>1,666,395</u>	<u>1,302,613</u>	<u>1,573,561</u>

29. CONTINGENT LIABILITIES

The group is a defendant in various legal actions. In the opinion of The Specialist Receiver Manager, after taking appropriate legal advice, the outcome of such actions will not give rise to any significant losses.

30. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.